Household Intl.	Financials	1926	40
Jefferson-Pilot	Financials	1913	36
Johnson & Johnson	Health Care	1944	40
Johnson Controls	Consumer Discretionary	1887	29
KeyCorp	Financials	1963	36
Kimberly-Clark	Consumer Staples	1935	34
Leggett & Platt	Consumer Discretionary	1939	33
Lilly (Eli)	Health Care	1885	38
Lowe's Cos.	Consumer Discretionary	1961	40
May Dept Stores	Consumer Discretionary	1911	31
McDonald's Corp.	Consumer Discretionary	1976	27
McGraw-Hill Cos.	Consumer Discretionary	1937	35
Merck & Co	Health Care	1935	38
Nucor Corp.	Materials	1973	30
PepsiCo Inc.	Consumer Staples	1952	35
Pfizer, Inc.	Health Care	1901	39
PPG Indus.	Materials	1899	37
Procter & Gamble	Consumer Staples	1891	40
Regions Financial	Financials	1968	32
Rohm & Haas	Materials	1927	38
Sigma-Aldrich	Materials	1970	28
Stanley Works	Consumer Discretionary	1877	37
Supervalu Inc.	Consumer Staples	1936	36
Target Corp.	Consumer Discretionary	1965	34
TECO Energy	Utilities	1900	40
U.S. Bancorp	Financials	1999	35
VF Corp.	Consumer Discretionary	1941	35
Wal-Mart Stores	Consumer Discretionary	1973	29
Walgreen Co.	Consumer Staples	1933	31

Source: Standard & Poor's Corp.
Data as of 12/31/2002.

Moderate P/E ratio. Graham recommends limiting yourself to stocks whose current price is no more than 15 times average earnings over the past three years. Incredibly, the prevailing practice on Wall Street today is to value stocks by dividing their current price by something called "next year's earnings." That gives what is sometimes called "the forward P/E ratio." But it's nonsensical to derive a price/earnings ratio by dividing the known current price by unknown future earnings. Over the long run, money manager David Dreman has shown, 59% of Wall Street's "consensus" earnings forecasts miss the mark by a mortifyingly wide margin—either underestimating or overestimating the actual reported earnings by at least 15%.[2] Investing your money on the basis of what these myopic soothsayers predict for the coming year is as risky as volunteering to hold up the bulls-eye at an archery tournament for the legally blind. Instead, calculate a